

If it's sold at auction, which is often the case when a car is repossessed, the sale price may be half of what an identical car sells for on a lot. Typically, when a car is repossessed for failure to make the payments, the car is sold at a loss, and the lien holder sues the borrower for the difference.

The same is true of a leased car. The lease contract to pay is just as binding as a purchase agreement. If the leasing company has to repossess a leased car, it rarely will attempt to lease it again. The typical lessee wants a brand-new car, not a used one. The leased car is auctioned off, and the leaseholder is sued for the deficiency.

I have sometimes been accused of being negative about new cars, and to some extent that is true. Over the years I have seen the bondage that buying new cars has placed on many people. However, if someone has his or her finances under control and can save for the cost of a new car, it is his or her decision whether to buy one. One person may think a new car is a bad buy, but another may think it represents better value. The one thing neither of them can disagree about is that when you borrow money to buy a new car, you have purchased something that depreciates in value almost immediately.

For most of my adult life I never bought a new car, for two reasons: one, I didn't have the funds to pay for one, and, two, I couldn't see the need for one with so many good used cars available. At one point I was driving a ten-year-old station wagon with well over 100,000 miles on it, and I knew that I would have to buy another car within a short time. Then one of our sons attempted to back my car up our very steep driveway during a minor ice storm. Backing up our driveway in good weather was a real trick, but it was impossible in bad weather. Like most teenagers, he was not to be dissuaded by a "small" obstacle such as an ice storm, so he kept trying until he burned out the reverse gear.

The next time I got into my car, I discovered it whirled but wouldn't move in reverse. So we got several of the neighborhood kids out and pushed the car around in the driveway so that I could pull up the hill. For several weeks I drove it anyway, while we all